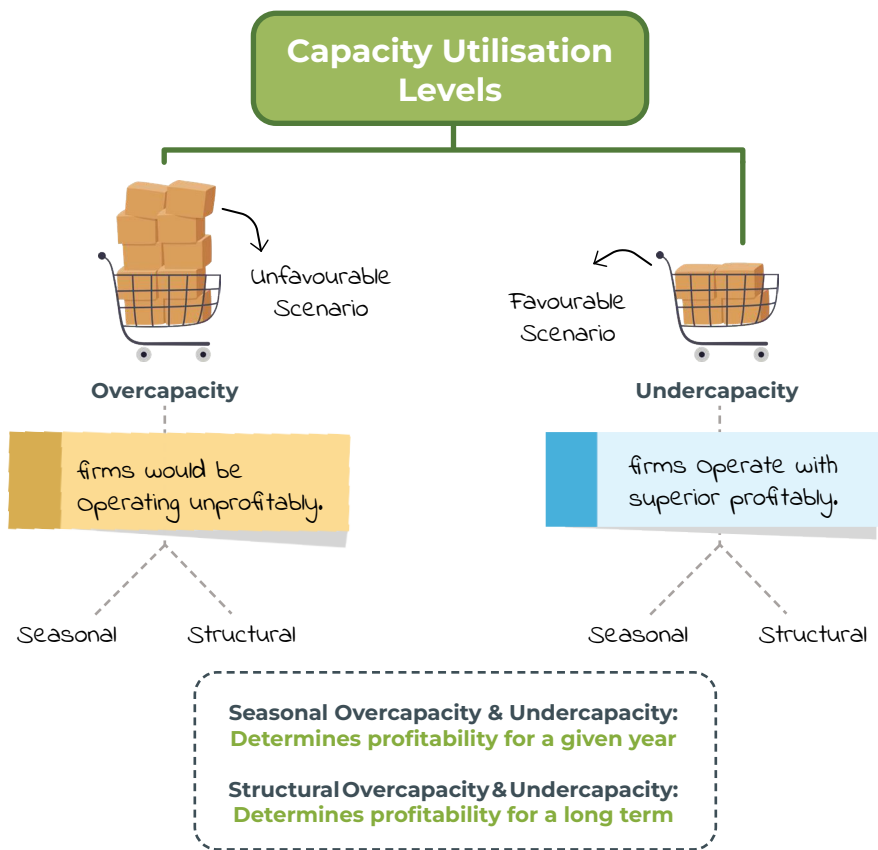


So, we see fixed cost per unit goes down. Capacity utilization is neither a lagging indicator nor a leading indicator but it is a concurrent indicator of the firm's profitability.



Entrepreneurs and analysts, need to be on the constant lookout for new entries in the industry, entry barriers, lead time, etc. New supply created in the industry can reduce profitability.